(ii) *Price:* Income can be derived at two prices– constant and current. The difference in the prices at constant and current prices is only that of the *impact of inflation*. Inflation is considered stand still at a year of past (this year of the past is also known as the ***'base year'***) in the case of the constant price while in the current price the present day inflation is added. Current price is, basically, the maximum retail price (MRP) which we see printed on the goods selling in the market.

As per the new guidelines the *base year* in India has been revised from the 1993-94 to 2004-05 (the data based on the new constant year is presently known as the 'new series' of data) – announced in September, 2010. *India calculates its national income at constant prices*- so is the situation among the developing economies while the developed nations calculate it at the current prices. Though, for the statistical purposes the CSO releases the national income data at the current prices, too. Why? Basically, inflation has been a challenging aspect of policy making in India because of its level (i.e. range in which it dwindles) and stability (how stable it has been). In such situations the growth in the income levels of the population living below the poverty level (BPL) can never be measured accurately (because due to higher inflation the section will show higher income) and the Government will never be able to measure the *real* impact of the poverty alleviation programmes it runs for the population.

Here, one important aspect of the income needs to be understood. Income of a person has three forms – the first form is ***nominal income*** (the wage someone gets in hand per day or per month), the second form is ***real income*** (this is nominal income minus the present day rate of inflation-adjusted in percentage form), and the last one is the ***disposable income*** (the net part of wage one is free to use which is derived after deducting the direct taxes from the real/nominal income, depending upon the need of data). What happens in practice is that while the nominal income might have increased by only 5 per cent, it looks 15 per cent if the inflation is at the 10 per cent level! Unlike India, among the developed nations, inflation has been around 2 per cent for many decades (it means it has been at lower levels and stable, too. This is why the difference between the incomes at constant and current prices among them are narrow and they calculate their